

Interest and depreciation

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1 Derek saves \$1000 in an account paying 3% simple interest each year.

a) How much interest does the bank give him each year?

\$30

b) How much interest does he earn after five years?

\$150

2 Kul saves \$3000 in an account that pays 2% simple interest.

a) How much interest does he receive each year?

\$60

b) How much money will Kul have after 3 years?

\$3180

3 Eddie saves \$2000 in an account paying 4% simple interest each year.

How much money will he have after five years?

\$2400

4 Sonal saves \$2500 in an account paying 4% simple interest per annum.

How much money will she have after 6 years?

\$3100

5 Jackie saves \$6000 in a bank account and has \$6300 after one year.

What is the rate of interest that the bank pays?

5%

6 Sam puts \$3000 into an account which pays simple interest. After four years, she has \$3720.

a) How much interest did the bank give her each year?

\$180

b) What is the rate of interest the account pays?

6%

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- 7 Aneesa invests \$7000 in an account that pays simple interest. After 5 years she has \$7875.

What is the rate of interest that the account pays?

2.5%

- 8 Melissa saves \$1000 in an account which pays 5% compound interest each year.

How much does she have after 4 years?

\$1215.51

- 9 Billy puts \$6000 in an account that pays 3% compound interest each year.

How much money does he have after 4 years?

\$6753.05

- 10 Kurt saves \$7000 in an account that pays 2% compound interest each year.

How much money does he have after 5 years?

\$7728.57

- 11 Hans invests \$600 in an overseas account that pays 20% compound interest each year.

How much does he have after ten years?

\$3715.04

- 12 Rachel invests \$4800 in an account paying 2.8% annual compound interest.

How much will she have after 6 years?

\$5665

- 13 Sacra puts \$15000 in an account paying 0.9% compound interest each year.

How much will she have after 10 years?

\$16406.01

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- 14 The population of a town has been increasing by 5.8% each year for the last three years.

The population was 78,000 three years ago.

What is the population now?

92374

- 15 The population of a town has been decreasing by 2% each year for the past five years.

Five years ago the population was 63,000.

What is the population now?

56947

- 16 The population of another town decreased by 6.1% each year for eight years.

It was 108,000 eight years ago.

What is the current population?

65275

- 17 Phil buys a new car for \$9000. Each year, it loses 30% of its value.

How much is it worth after 4 years?

\$2160.90

- 18 Josh buys a car for \$8000. Each year it loses 20% of its value.

What is its value after 7 years?

\$1677.72

- 19 Alfie buys a new car for \$14000 and it depreciates by 35% each year.

How much is it worth after three years?

\$3844.75

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- 20 Spencer saves \$3000 in an account paying 4.2% compound interest per annum. After 3 years he decides to put another \$2000 in the account.

Calculate how much money he has after 6 years from the start.

\$6102.70

- 21 Louis saves \$2500 in an account paying 2.8% annual compound interest. After two years he takes out \$1000.

How much does he have in the account after five years from the start?

\$1783.78

- 22 Dennis puts \$4000 in an account paying 6% compound interest. After 5 years the bank reduces the rate of interest to 4%.

Calculate how much Dennis has if he keeps the money in the account for another 3 years.

\$6021.28

- 23 A new car has a value of \$13500. It depreciates by 24% in the first year and by 16% each year after.

How much is the car worth after six years?

\$4290.85

- 24 Here are two bank accounts.

Account A

4% simple interest

Account B

3.5% compound interest

Penny wants to save \$2000 for 5 years.

Which account should she choose?

Account A better. \$2400 greater than \$2375.37